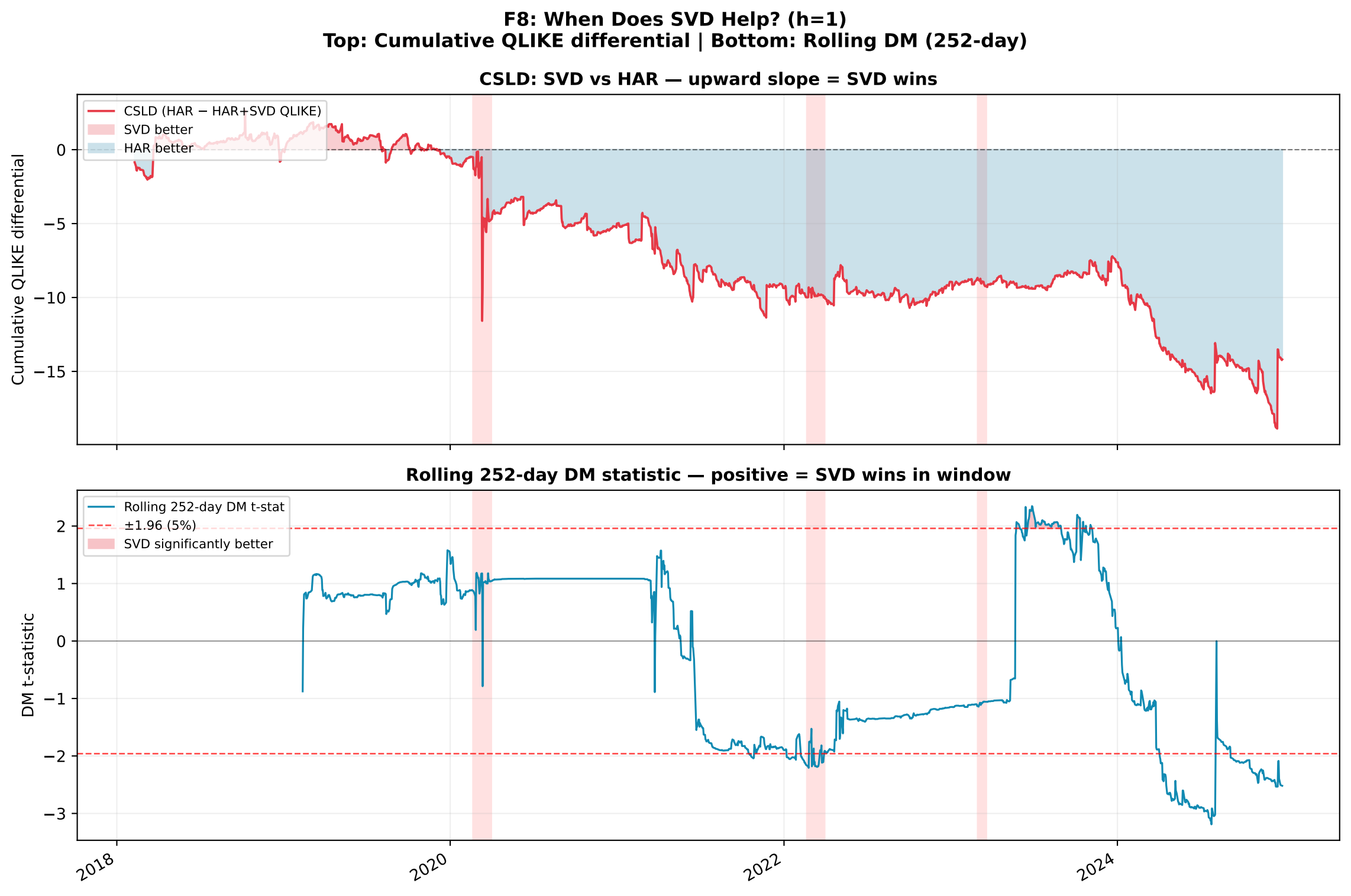
F8: When Does SVD Help? (h=1)
Top: Cumulative QLIKE differential | Bottom: Rolling DM (252-day)
CSLD: SVD vs HAR — upward slope = SVD wins
CSLD (HAR − HAR+SVD QLIKE)
SVD better
HAR better
Cumulative QLIKE differential
0
−5
−10
−15
Rolling 252-day DM statistic — positive = SVD wins in window
Rolling 252-day DM t-stat
±1.96 (5%)
SVD significantly better
DM t-statistic
2
1
0
−1
−2
−3
2018
2020
2022
2024